inflation-targeting got shaped in this context. I was, in particular, concerned that the Reserve Bank should not move towards inflation-targeting when the theory and practice on the subject were in such a flux. Instead, we should wait for the lessons of experience to become clearer and then adapt them to the Indian situation.

My reservations on inflation-targeting extended beyond the lessons of the crisis to India-specific circumstances and vulnerabilities. In an economy where short-term inflation is driven more by supply shocks, be they of food or energy, than by demand-side pressures, can the Reserve Bank deliver on an inflation target? Will the government support the Reserve Bank by remaining committed to fiscal responsibility or will inflation-targeting become hostage to fiscal dominance? How effective would inflation-targeting be in a situation where monetary policy transmission is impeded not just by large fiscal deficits but also by administered interest rates on small savings and illiquid bond markets? Wouldn't the Reserve Bank's policy of managing large and volatile capital flows compromise inflation-targeting?

My main concern was that inflation-targeting in the face of these compulsions might lock the Reserve Bank into a no-win situation. If it is fixated on fulfilling its inflation target, there may be occasions when the Reserve Bank may have to tighten the interest rate so much that growth and jobs will be hit. On the other hand, if it fails repeatedly to meet the target, it will risk losing credibility. Once people have lost confidence in an inflation target, it becomes very hard for the central bank to persuade them to trust the target again.

Besides these policy considerations, there was also a very practical issue that prevented a change in the policy regime. A necessary requirement for inflation-targeting is a single inflation index that is representative of the entire economy of 1.3 billion people, fragmented markets, diverse geography and heterogeneous economic conditions. We did not have one.

Notwithstanding my reservations on inflation-targeting, it is not as if I was fully satisfied with the 'multiple-indicator, multiple-target approach' that guided monetary policy during my tenure. Under multiple indicators,